

Lesson 2

Entrepreneurship & Unit Economics

Your Guide to Starting a Business

Grade 4 · Academic Year 2025–26

Learning Objectives

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| 1 | Define 'entrepreneur' and explain why people start businesses. |
| 2 | Identify business ideas by observing everyday problems. |
| 3 | Understand unit economics: costs, revenue, and profit. |
| 4 | Calculate profit using the formula $\text{Profit} = \text{Revenue} - \text{Costs}$. |
| 5 | Recognise the break-even point and the value of reinvesting profit. |

What Is an Entrepreneur?

An entrepreneur is a person who identifies a problem or need, comes up with a creative idea to solve it, and starts a business around that idea. Entrepreneurs take risks with their time and money hoping to earn a reward.

Why do people start businesses?

- To earn money for themselves and their families.
- To share something special — a skill, product, or service — with the world.
- To help others in their community by solving real problems.
- To follow a passion and turn a hobby into income.

■ **Think about it:** What problem around you could YOU solve with a small business?

Finding Business Ideas

The best business ideas come from observing everyday life. Ask yourself: What do people around me need that they can't easily get? What am I good at making or doing?

Tips & real problems to solve:

■ Look around you daily	■ Thirsty people need drinks → lemonade stand
■ Ask friends & family what they need	■ Friends want fun crafts → craft stall
■ Notice what people complain about	■ Pets need care → pet-sitting service
■ Match your skills to others' needs	■ Everyone loves snacks → homemade cookies

Understanding Unit Economics

Unit economics means understanding how much it costs to make ONE item you want to sell, and how much money you earn from selling it. Before you can make a profit, you must know your numbers!

Core business terms:

Unit Cost	The total cost of making ONE product (ingredients + materials + packaging).
Revenue	All the money you collect from customers who buy your product.
Profit	The money you keep after paying all costs. Profit = Revenue – Costs.
Break-even	The point where your total revenue equals your total costs — no loss, no profit yet.
Reinvest	Putting some profit back into your business to help it grow bigger.

Lemonade Stand — Unit Cost Breakdown

Ingredient / Item		Cost per Cup
Lemons	■4	
Sugar	■3	
Water	■1	
Cup & straw	■2	
TOTAL COST	■10	

Selling Price: ■15 · Profit per cup: ■15 – ■10 = ■5 ■

Revenue, Costs & Profit

Let's put the formula into practice. Imagine you sell 10 cups of lemonade in one afternoon at ₹15 each.

Lemonade Stand — Profit Calculation

Item	Calculation	Amount
Revenue (money in)	10 cups × ₹15	₹150
Total Costs (money out)	10 cups × ₹10	₹100
Profit	₹150 – ₹100	₹50

— Activity: Craft Stall Maths

Meera makes friendship bracelets. Thread costs ₹5, beads cost ₹8, and a gift bag costs ₹2.

She sells each bracelet for ₹25. Calculate: (a) Unit Cost (b) Profit per bracelet (c) Profit if she sells 8 bracelets.

The Break-Even Point

Before you start making profit, you must first earn back all the money you spent to set up your business. This is called the break-even point — the moment your revenue equals your costs.

*You spent ₹50 on supplies. Sell 10 cups at ₹5 profit each → Revenue = ₹50 →
BREAK-EVEN! Every cup after that is pure profit.*

Why does break-even matter?

- It tells you the minimum number of items you MUST sell to avoid a loss.
- It helps you set the right selling price.
- It shows how long it takes before your business becomes truly profitable.

Saving & Reinvesting Profit

When your business earns profit, you have two smart options: save some for yourself as a reward, and reinvest some to make the business bigger and better.

Profit split strategy:

₹ Save 50% of profit	₹ Reinvest 50% of profit
→ Personal savings goal	→ Buy more ingredients / materials
→ Emergency fund for the business	→ Better packaging or display

→ Big future purchase

→ Try a new product line

Planning Your Business

Follow these three steps before you start:

- Step 1 — CHOOSE YOUR IDEA: Pick something you love making or doing. What problem does it solve? Who will buy it?
- Step 2 — FIND YOUR CUSTOMERS: Think about who will buy from you — friends, family, or neighbours. Knowing your customers helps you set the right price.
- Step 3 — SET YOUR PRICE: Remember the formula $\text{Price} = \text{Cost} + \text{Desired Profit}$. Never sell below cost!

—■ Activity: My Mini Business Plan

Business Name: _____

Product or Service: _____

Unit Cost (list each ingredient/material): _____

Selling Price: ■_____ Profit per unit: ■_____

How many units do I need to sell to break even? _____

Quick Check ✓

1. What is an entrepreneur? Name one famous entrepreneur you know.
2. A bag of popcorn costs ■12 to make and sells for ■20. What is the profit per bag?
3. You need ■120 to cover your setup costs. If profit per bag is ■8, how many bags must you sell to break even?
4. What is the difference between revenue and profit? Give an example.
5. Why is teamwork important when running a business?

Lesson Summary

- ★ An entrepreneur spots a problem and starts a business to solve it.
- ★ Unit economics = knowing the cost of making ONE item before you sell it.
- ★ Profit = Revenue – Costs. Always sell above your cost price.
- ★ Break-even is when revenue covers all your costs — profit starts after that.
- ★ Reinvest some profit to grow your business; save the rest for yourself.